



WEEK 4

Tax-Advantaged Accounts

The account is a wrapper — and the wrapper decides the tax, not what's inside it.



Wins, lessons & this week's watchlist

1

Anything new you did with money this week?

2

Something interesting you learned about money or finance?

3

A new investment you're looking at or like right now?

This week: show of hands — who has a Roth IRA, a 401(k) match, or an HSA? And did anyone work a job, internship, or gig this year?

Level 1

The three moments

One dollar, up to three taxes — and what a "tax-advantaged" account actually switches off.

10 min



The account is a wrapper, and the wrapper decides the tax — not what's inside it.

The whole night in one line

The same S&P 500 index fund, held in five different boxes, can owe five different lifetime tax bills.



A dollar gets taxed at up to three moments

BOX	IN	GROWTH	OUT
Taxable brokerage	taxed	taxed	taxed
Traditional / pre-tax	skipped	skipped	taxed
Roth	taxed	skipped	skipped
HSA (medical)	skipped	skipped	skipped

A "tax-advantaged" account is just a box that switches off at least one switch. The HSA — Health Savings Account — is the only one that switches off all three.



Every account name is two decisions stapled together

PURPOSE (THE NOUN)	TRADITIONAL — PAY TAX LATER	ROTH — PAY TAX NOW
Retirement · on your own	Traditional IRA	Roth IRA
Retirement · through work	Traditional 401(k), 403(b)	Roth 401(k)
Medical	HSA — its own deal (all three off)	—
Education	529, Coverdell ESA	—
General	Taxable brokerage — no deal	—

IRA = Individual Retirement Account · 401(k) = employer plan · HSA = Health Savings Account · 529 = education plan. The noun names the purpose; "Traditional" vs. "Roth" names the tax deal.



Traditional vs. Roth is a single question

Rate higher LATER

→ pay tax now → Roth

- Almost everyone in this room is here
- A 10–12% bracket is your lifetime-low rate
- Pay 12% now to never be taxed again — including 40 years of growth

Rate higher NOW

→ defer to later → Traditional

- High earners in their peak-income years
- Deduct now, pay ordinary income on the way out
- The bet: your rate falls by retirement

For almost everyone in this room, the answer is Roth — and it isn't close.



\$7,000 at age 20, ~40 years at 7%

~\$105,000

what one \$7,000 contribution
grows to

\$0

tax on every dollar coming out —
in a Roth

~\$840

tax paid in (12% of \$7,000) to
make ~\$98,000 of growth
untaxable

illustrative - 7% assumed, not promised



Opening a Roth IRA is Week 3 with one dropdown changed

Same brokerage, same funding, same order ticket to buy the same index fund — account type = Roth IRA instead of "Individual."

- The key that unlocks it: earned income — a summer job, internship, or gig this year.
- Contribute up to the lesser of \$7,500 (the 2026 limit) or what you earned from work.
- Surprise: a taxable grad-school stipend now counts as earned income too — since the SECURE Act of 2019.



One extra dollar: fill the boxes by what each returns

Each rung is justified by its return, not by vibes.

- 1 · 401(k) up to the full employer match — an instant 50–100% return. Nothing else competes.
- 2 · HSA (if you're on an HDHP, a High-Deductible Health Plan) — the only triple-tax-free box.
- 3 · Roth IRA — up to \$7,500, tax-free forever at your cheapest-ever rate.
- 4 · Max the 401(k) — up to \$24,500, once the free money and the Roth are handled.
- 5 · Taxable brokerage — unlimited, no rules, no breaks. The consolation prize.

Level 2

Every account, rule by rule

The wide sweep. Every box is a row with the same three columns — the only new information is who can open it, the 2026 limit, and the catch.

16 min



The core four — one row each

ACCOUNT	WHO CAN OPEN IT	2026 LIMIT	IN	GROWTH	OUT	THE CATCH
Roth IRA ★	Anyone with earned income under the MAGI cap	\$7,500	taxed	free	free	Phases out \$153k–\$168k single, \$242k–\$252k joint
Traditional IRA	Anyone with earned income	\$7,500	deduct*	free	ordinary	*Deduction phases out \$81k–\$91k if covered at work
401(k) ★	Employees whose employer offers one	\$24,500	pre-tax / Roth	free	ord. / free	The Roth 401(k) has NO income cap
HSA ★	On an HDHP, not on Medicare, not a dependent	\$4,400 / \$8,750	pre-tax	free	free†	†Tax-free out only for medical

MAGI = Modified Adjusted Gross Income · HDHP = High-Deductible Health Plan. Figures: IRS Notice 2025-67 & Rev. Proc. 2025-19. Add +\$1,100 (IRA) or +\$8,000 (401k) if 50+.



Work & self-employment plans

ACCOUNT	WHO CAN OPEN IT	2026 LIMIT	THE ONE THING TO KNOW
403(b)	Employees of schools, hospitals, 501(c)(3)s	\$24,500 deferral	Has a student-shaped hole: schools may exclude students & under-20-hr staff. TAs/RAs — read your plan doc.
457(b)	State/local govt & nonprofit employees	\$24,500 — a SEPARATE limit	Stacks on a 403(b) → defer \$49,000 total. Governmental version has no 10% early penalty.
SEP-IRA	Anyone with self-employment income	20% of net, up to \$72,000	The "25% of pay" is really 20% effective — usually the weaker self-employment option.
Solo 401(k) ★	Self-employed, no employees (spouse OK)	\$24,500 + ~20%, up to \$72,000	The right answer for gig income: you're employer AND employee → ~5× the room of a SEP. Take deferrals as Roth.

SEP = Simplified Employee Pension. A campus job usually can't get you into a 403(b) — but your student wages still fund your own Roth IRA.



Education, disability & everything else

ACCOUNT	WHO CAN OPEN IT	2026 LIMIT	THE ONE THING TO KNOW
529 ★	Anyone (owner keeps control); any beneficiary	\$19,000/yr, or \$95,000 superfunded	Tax-free for education. Leftover money now has a Roth exit (Level 3).
ABLE (529A)	Disability onset before age 46	\$20,000/yr	A benefits play, not a tax play — shields \$100k from SSI's asset test. Highest-value account for the few it fits.
Coverdell ESA	MAGI under \$110k / \$220k joint	\$2,000/yr	A trap: a 529 with a \$2,000 cap, an income test, and a forced payout at 30. Roll it into a 529.
UTMA / UGMA	Any adult, for a minor	Unlimited (it's a gift)	Not a shelter — a titling convention. Hit by the kiddie tax (a child's unearned income taxed at the parents' rate); costs ~20¢ of aid per dollar vs. a 529's ~5¢.
I-Bonds	Anyone	\$10,000/yr	Fine cash sleeve (4.26%, state-tax-free). But "tax-free for college" fails for you — owner must be 24+ at issuance.
Trump Account (§530A)	Kids under 18 with an SSN	\$5,000/yr + \$1,000 seed	New this month. Marketed as tax-advantaged — run it through the grid and it fails. Tonight's market moment.

ESA = Education Savings Account · UTMA/UGMA = custodial accounts · SSI = Supplemental Security Income.



The tax code keeps writing full-time students out of its incentives

Keep count tonight — it's a real design choice, not a coincidence.

- The Saver's Credit excludes full-time students; the coming Saver's Match excludes them too.
- The kiddie tax reaches you until 24; the education I-Bond rule locks you out by age (owner must be 24+).
- Local note — a campus job at UVU or BYU can't get you into the 403(b): both exclude student workers.
 - But your student wages are FICA-exempt at 6+ credit hours — an extra 7.65% per check — and still count as earned income for your own Roth IRA. (FICA = the Social Security + Medicare payroll tax.)



The match: what common formulas actually pay

EMPLOYER FORMULA	DEFER THIS TO MAX IT	INSTANT RETURN ON MATCHED DOLLARS
50% up to 6%	6%	50%
100% of first 3% + 50% of next 2%	5%	80% blended
100% up to 6%	6%	100%

On a \$60,000 salary, "100%/3% + 50%/2%" means deferring \$3,000 earns a \$2,400 match — an 80% return before the market does anything. "The match" is not one number — read your plan's formula.



Your money vests instantly; the match may not

- Your own contributions are always 100% yours, immediately. The match can vest over time.
- ERISA caps the pace: a 3-year cliff (0% then 100%) or 2-to-6 graded (20%/yr). Leave before you vest and the unvested match is forfeited.
- The true-up trap: if the plan matches per paycheck with no year-end true-up, front-loading to \$24,500 by August can forfeit match.
 - Front-load a \$120k salary → hit the cap in ~10 checks → the last 14 earn \$0 match. You collect ~\$2,000 instead of \$4,800 — forfeiting ~\$2,800 by being too eager. Fix: spread across 12 months.



Three gates — and a fourth advantage nobody names

- The gate: covered by an HDHP, not enrolled in Medicare, and — the one that catches this room — not claimable as a dependent. It turns on whether you can be claimed.
- The fourth advantage: contribute through employer payroll (a \$125 cafeteria plan) and the money also escapes FICA — another 7.65% — because it never counts as wages.
- Contribute from your bank account instead and you get the income-tax deduction but NOT the FICA break. Same dollars, ~7.65% apart, purely on the plumbing.



For a low earner, the FICA break is the only HSA benefit

\$0

Income tax a student earning \$12,000 owes (under the \$16,100 standard deduction)

\$0

Value of the HSA's famous income-tax deduction to them

~\$918

FICA still owed on those wages — and the payroll HSA is the only way to dodge it



The IRA calendar runs long; the 401(k) hard-stops

IRA

runs to next tax day

- Fund a 2026 Roth IRA until April 15, 2027
- No extensions
- A late-discovered low-income year is still salvageable

401(k)

dies December 31

- Deferrals come out of payroll
- Once your last check is cut, the money is "available"
- No April grace period

The calendar itself is a rule.



529: the owner keeps control; the beneficiary never does

Owner

usually a parent

- Keeps control forever
- Can change the beneficiary to another family member
- The opposite of a UTMA, where the kid takes it at majority

Beneficiary

the money is for them

- Never controls the account
- Qualified = tuition, fees, room/board, K-12 up to \$20,000
- Non-qualified = 10% penalty on earnings only

Leftover money isn't stranded — it now has a Roth exit (Level 3). Many states also give a ~5% income-tax deduction for their own plan.



The early-withdrawal penalty map, box by box

BOX	INCOME TAX	PENALTY	THE THING TO KNOW
Roth IRA — contributions	none	none	Out anytime, any reason — the escape hatch
Roth IRA — earnings	ordinary income	10%	Free only once you're 59½ and past the 5-year clock
Traditional IRA	ordinary income	10%	But it owns the best exceptions (next slide)
Pre-tax 401(k) / 403(b)	ordinary income	10%	No college or first-home exception — those are IRA-only
Governmental 457(b)	ordinary income	NONE	The one plan with no early penalty — ever
HSA — non-medical	ordinary income	20%	Double the usual penalty — but gone at 65
529 — non-qualified	on earnings only	10%	Penalty hits earnings only — never your principal
Taxable brokerage	capital-gains on gains	none	Never locked — the freedom you pay for with no tax break

Two outliers: the governmental 457(b) has no early penalty ever; the HSA's non-medical penalty is 20% — the harshest on the board.



Which early-withdrawal exceptions apply where

Everyone gets this wrong — the list is not the same for every box.

- IRA only: qualified higher education, first-time home (\$10,000 lifetime), health insurance while unemployed.
- Employer plan only: the Rule of 55 — leave your job at 55+ and that plan's money is penalty-free (IRAs don't get this).
- Both: disability, death, birth/adoption (\$5,000), a \$1,000/yr emergency, terminal illness, disaster (\$22,000).
- Two practical takeaways:
 - Money you might need for grad school belongs in an IRA, not a 401(k) — the education exception is IRA-only.
 - Leaving a job at 55+? Don't roll that 401(k) to an IRA first — you'd forfeit the Rule of 55 on it.



Leaving a job? Move money account-to-account

Direct transfer

trustee-to-trustee

- Money moves account-to-account
- Nothing is withheld
- Always do this

Indirect — check to you

the 20% trap

- The employer plan must withhold 20%
- 60 days to redeposit the full amount — making up the 20% from your own pocket
- Miss it → the 20% is taxed and penalized

Small balances get force-out: under \$1,000 can be mailed to you; \$1,000–\$7,000 is auto-rolled into a plan's low-yield default IRA. Move them yourself.

Level 3

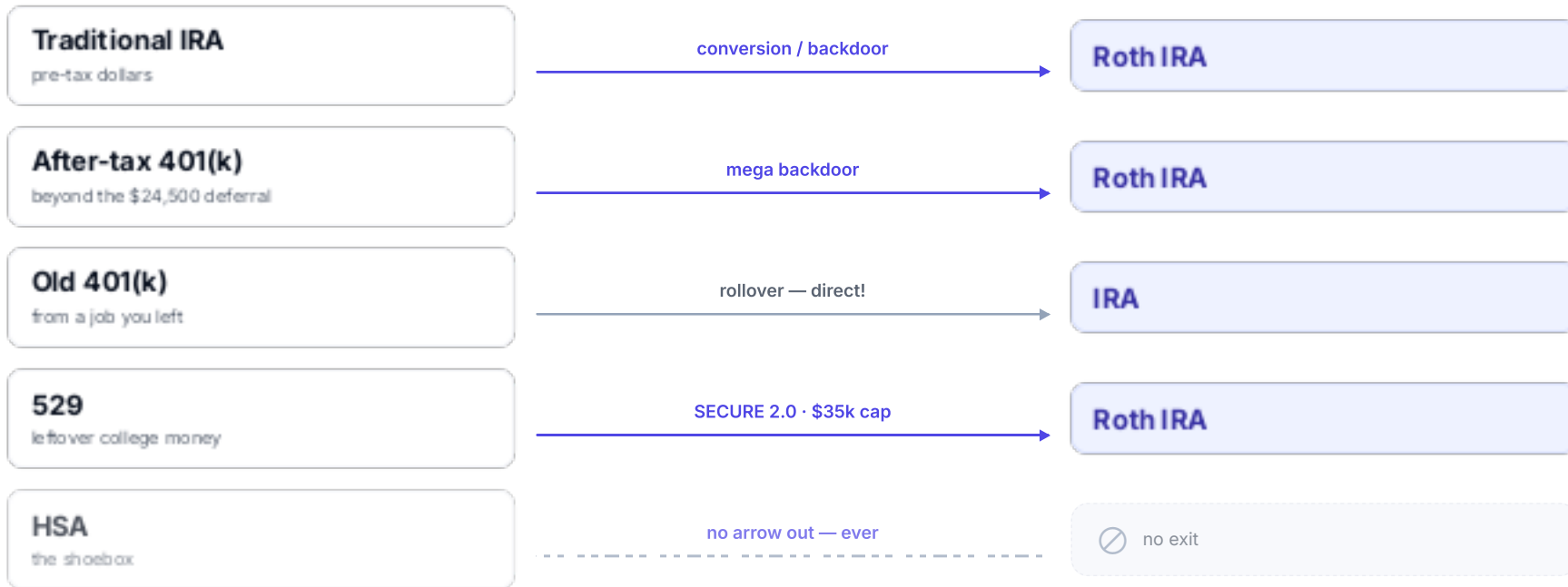
The money map

You know the boxes — now the arrows between them. Every arrow is a legal move, and every move is a tax decision.

14 min



Moving money between the boxes



Read it top to bottom as "live for me now" → "live for me later." The HSA has no exit — and that's its superpower.



In a low-income year, convert Traditional → Roth for near-\$0 tax

Free conversion room = the \$16,100 standard deduction – your ordinary income.

- A student with \$8,000 of summer wages has \$8,100 of room left — convert up to that and pay \$0.
- ⚠ The trap that guts the naive version: the kiddie tax.
 - It's not about whether your parents claim you. It reaches any full-time student aged 19–23 whose earned income is under half their support — and a conversion counts as unearned income, taxed at your parents' rate.
- The real escape hatch is the support test, not age: a heavily-scholarshipped student with a real job can earn more than half their own support and step out of the kiddie tax.
- Advanced gotcha: conversion income pushes long-term gains out of the 0% bracket — a student doing both in one year can hit a true 27% marginal rate.



Turn leftover college money into retirement money

New from SECURE 2.0: unused 529 money can roll into the beneficiary's Roth IRA, tax- and penalty-free — through four gates.

- \$35,000 lifetime cap (not indexed).
- The 529 must be at least 15 years old.
- Contributions from the last 5 years (and their earnings) are ineligible.
- Each year's rollover is capped at the IRA limit (\$7,500) and the beneficiary needs earned income.
- Honest open question: whether changing the beneficiary resets the 15-year clock is unsettled — don't build a plan on beneficiary-swapping.



The backdoor Roth — and the pro-rata trap

The Roth IRA has an income cap (~\$168k single), but Roth conversions have no income limit — so high earners contribute to a non-deductible Traditional IRA and immediately convert.

- Legal, common, and unthreatened in 2026.
- The pro-rata trap: the conversion is taxed proportionally across ALL your traditional IRA money, not just the new dollars.
 - Fix: roll existing pre-tax IRA money into a 401(k) first, emptying the bucket so the backdoor converts clean.
- A "you in five years" move — flag it now so the mechanism is familiar when the income arrives.



After-tax dollars, all the way up to the \$72,000 limit

Some 401(k) plans allow after-tax contributions beyond the \$24,500 deferral, up to the §415(c) total of \$72,000 — which you then convert to Roth in-plan.

- Can move tens of thousands into Roth per year — far above the \$7,500 IRA cap.
- Entirely plan-dependent: it only works if your plan permits both after-tax contributions and in-plan conversion.
- A "you in ten years, at a good employer" move.



The HSA shoebox: no deadline to reimburse yourself — ever

The HSA's lack of an exit arrow is the feature, not a flaw.

- Pay small medical bills out of pocket, save the receipts, and let the HSA compound tax-free for decades — then reimburse yourself, tax-free, whenever you want.
- The one-dollar move: the clock starts when the account is funded, not when you sign up.
 - Open and fund an HSA with even \$1 the day you're first eligible — every receipt after that date is eligible forever. Highest-ROI action in tonight's lesson.
- At 65 the 20% non-medical penalty vanishes and it becomes a Traditional IRA — but the tax-free-for-medical option never goes away. Strictly better than an IRA.



Which arrow is live for you

MOVE	STUDENT · ~\$0-15K	FIRST JOB · ~\$40-70K	HIGH EARNER · \$150K+
Roth IRA (just contribute)	✓ your #1	✓	➖ capped → backdoor
Roth conversion (low-income yr)	✓ if you clear kiddie tax	maybe	➖ too expensive
529 → Roth	✓ if leftover 529	✓	✓
Backdoor Roth	—	—	✓ the move
Mega backdoor	—	—	✓ if your plan allows
HSA shoebox	✓ start the \$1 clock	✓	✓

Some arrows are for a \$40k earner, some only unlock at \$150k+. No "someday" — find your column and do the checked moves this year.

Market moment

Trump Accounts

The newest box in the tax code — live since July 4, 2026 — and whether it's any good.

10 min



Trump Accounts (§530A) become fundable

A \$1,000 federal seed for kids born 2025–2028; a \$5,000/yr cap — of which \$2,500 can come from an employer, tax-free. Investments must track a US index. At 18 it converts to a Traditional IRA.

\$1,000

federal seed · 2025–2028 births

\$5,000/yr

contribution cap · \$2,500 employer

0.1%

fee cap · US-index only

IRS Notice 2025-68 · OBBA (One Big Beautiful Bill Act)



Employers now match it — a job-interview line item

- Goldman, JPMorgan, BlackRock, Schwab, Chipotle, Robinhood and others now match the \$1,000 for employees' kids.
- That makes it a compensation line item to ask about in an interview, just like a 401(k) match.
- Tie-back: Robinhood — Week 3's meme-stock app — is the federal government's initial trustee for these accounts.



Same \$5,000, 7% for 30 years — after-tax value at the end

BOX	AFTER-TAX VALUE AT YEAR 30
HSA	\$40,831
Traditional IRA / Roth IRA	\$31,031
Plain taxable brokerage	\$26,947
Trump Account	\$24,496

The Trump Account ends ~\$2,451 BEHIND a plain taxable account — it converts capital gains into ordinary income. Marketed as tax-advantaged; for a buy-and-hold saver it trails the un-advantaged option. (Ignores the free seed & employer money.) Source: Cato PA 1019.



Two slices: tax-free basis vs. taxable seed + growth

At 18 it becomes a plain Traditional IRA; withdrawals are pro-rata, not basis-first.

- Basis (comes out tax-free): the money your family contributed — it was after-tax going in.
- No basis (ordinary income): the \$1,000 seed, any employer money, and all investment growth.
- Worked example: \$50,000 at 18 = \$20,000 basis + \$30,000 non-basis → basis fraction 40%. Withdraw \$10,000 → \$4,000 tax-free, \$6,000 ordinary income.
 - Before 59½, add a 10% penalty on the taxable slice — \$600 — unless a Traditional-IRA exception applies. Honest headline: "ordinary income, and often + 10%."
- The sting: the "free money" the account is sold on is exactly the part taxed at ordinary rates.



One account, three unresolved tensions

- Do the projections hold up? The app shows \$13M by 55 — assuming >10% every year for 55 years; independent estimates run 3–7%.
 - At a realistic 6–7% the real number is a fifth to a seventh of the headline — and that's pre-tax, before the ordinary-income exit.
- Who actually shows up? Treasury touts 86% of accounts from families under \$200k — but ~95% of all households with kids are under that line.
 - So higher-income families are over-represented among sign-ups. Opt-in programs favor whoever can navigate them.
- The cross-cutting defense: a right-leaning think tank (Cato) attacks it; a left-leaning economist (Ghilarducci) defends it — on access, not returns.
 - Fewer than 3% of families use a 529, and owners hold ~25× the assets of non-owners. It doesn't sort the way anyone expects.

Before we close

- 1 Is the "tax-advantaged" label dishonest, or is the free \$1,000 seed enough to redeem it?
- 2 Would you open one for a younger sibling born since 2025 — or tell your parents to use a 529 instead?
- 3 Interviewing next year: is a "\$1,000 Trump Account match" worth anything? How does it compare to a 401(k) match?
- 4 The app projects \$13M by assuming 10% forever. Whose job is it to make that assumption honest — the government's, the app's, or yours?

Sources



Compound Money Talk

LIMITS & FIGURES (2026)

IRS Notice 2025-67 — retirement limits

Rev. Proc. 2025-19 — HSA limits

Rev. Proc. 2025-32 — standard deduction

IRS Notice 2025-68 — Trump Accounts

THE RULES

IRC §223 (HSA), §72(t) (early withdrawals), §415(c)

Pub 590-A / 590-B — IRA contributions & distributions

Pub 970 — education benefits · Form 8606

SECURE 2.0 §304 — force-out ceiling

THE MARKET MOMENT

Cato PA 1019 — Improving Trump Accounts

CNBC — employer matches & sign-ups

Fortune, Forbes — projections & debate

Vanguard, Fidelity — match & Roth trends